

Q1FY23 Result Update | Retail

Equity Research Desk

Strong Momentum to continue

August 6, 2022

Titan posted good set of numbers mainly on good Akshaya Tritoia quarter after 3 years driven by both buyer and ticket sizes. Management maintains revenue guidance of 20% on last year base with EBIT margin of 12-13% in jewellery business

- Revenue at ₹94,430 Mn vs ₹34,730 Mn (+172% YoY) vs ₹77,960 Mn (+21% QoQ) || Covid Impacted base || Revenue excluding bullion sales at ₹79,950 Mn vs ₹26,260 Mn (+203%)
- EBITDA at ₹11,960 Mn vs ₹1,370 Mn (+733% YoY) vs ₹7,940 Mn (+51% QoQ)
- EBITDA Margin at 12.7% vs 3.9% (YoY) vs 10.1% (QoQ)
- Adj PAT at ₹7,850 Mn vs ₹200 Mn (+3825% YoY) vs ₹5,640 Mn (+39% QoQ)
- EPS at ₹8.8 vs ₹0.2 (YoY) vs ₹6.3 (QoQ)
- Net store addition stands at 125 for Q1FY23

Segmentals

- Jewellery: (88% of Income)**
 - Revenues grew by 174% YoY to Rs 83,510 mn, EBIT margins 12.6% vs 6.5% YoY and 11.2% QoQ
 - Stores +24 in Q1FY23 || Total 606
- Watches (8% of Income)**
 - Revenues grew by 168 % YoY to Rs 7,860 mn
 - EBIT margins 12.5 % v/s -20.8 % YoY and -5.6% QoQ
 - Stores (fasttrack+WOT+Helios) +39 in Q1FY23 || Total 882
- EyeWear (2% of Income)**
 - Revenue grew by 173% YoY to Rs 1,830 mn,
 - EBIT margins 19.7 % v/s -19.4 % YoY and -5.2% QoQ
 - Store +56 in Q1FY23 || Total 789

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	2,10,515	2,16,450	2,87,990	3,86,181	4,59,905
EBIDTA	24,666	17,250	33,410	51,147	63,255
Margins	11.7	8.0	11.6	13.2	13.8
Adjusted net profit	15,014	9,740	22,270	36,618	44,929
EPS (Rs)	16.9	10.9	25.0	41	50
P/E (x)	143.8	222.2	97.2	59.1	48.2
EV/EBITDA (x)	88.1	124.3	64.0	42.0	34.1
RoCE (%)	24.5	15.1	27.8	36.7	40.5
RoE (%)	22.5	13.0	24.4	32.4	32.1

Source: Company

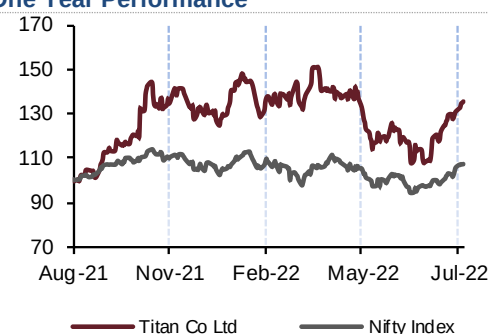
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	2,827	16

Market data

Current price	Rs	2,433
Market Cap (Rs.Bn)	(Rs Bn)	2,160
Market Cap (US\$ Mn)	(US\$ Mn)	27,177
Face Value	Rs	1
52 Weeks High/Low	Rs	2768 / 1763.2
Average Daily Volume	('000)	1,045
BSE Code		500114
Bloomberg		TTAN.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	52.90	52.90
Public	47.10	47.10
Total	100	100

Source: BSE

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- **Others (2% of Income)**

Revenue grew by 74% YoY to Rs 1,440 mn,

EBIT margins -11.1 % v/s -20.5 % YoY and 0.9% QoQ

Outlook from Management Call

Management maintains revenue guidance of 20% on last year base with EBIT margin of 12-13% in jewellery business

Conference Call Highlights

A. Jewellery Division (88% of revenue)

- Market Size: 3 years back : ~Rs.3.5 Lac crs || Now : ~Rs.4.2 lac crs (~6% market share)
- Q1FY23 sales growth on back of good Akshaya Tritiya after 3 years. Sales growth was driven by both buyer and ticket sizes, with *new buyer contribution at ~46%*
- Traction seen in high value ticket size & studded jewellery however there was soft growth incase of small ticket size (below 10 gm category)
- Gold prices had remained stable during the quarter in the range of ₹5k-5.1k despite increase in custom duty
- Seen one off benefit of 80-90 bps on EBIT margin due to high diamond prices, spot gold purchase & operating leverage
- The *studded sales ratio at 26%* is moderately better than pre-pandemic levels for the first quarter, indicating a full recovery
- Margins in south region less accretive due to price sensitive market & higher mix of gold vs studded jewellery
- ~14% digitally influenced sales in Q1FY23
- Aim to open 30-40 stores in jewellery segment
- Stores openings in USA : 2-3 stores || Target stores internationally : 20 stores || Current revenue contribution : ₹400-500 Mn

B. Watches & Wearables Division (8% of revenue)

- Target EBIT Margin of 12-13%
- Wearables now accounts for 10% of overall segment growing rapidly
- Margin levers : Operating leverage, brand mix & channel mix
- Launched smart watches in the price range of ₹3-10k
2nd fasttrack youth store opened || Target : 25 stores

C. Eye Wear Division (2% of revenue)

- Division achieved its highest quarterly revenues of ₹1,830 Mn in Q1FY23 led by growth in all its major categories
- Target EBIT Margin of 15%
- Eyeplus business contribution : 75% Titan Eye Plus || 15-20% distribution || 5% retail stores

D. Other business – Indian Dress Wear, Fragrances and Accessories (2% of revenue)

- Growth led by Taneira & fragrances
Target revenue for Taneira : Rs.10,000 Mn

Quarterly Financials

Particulars (Rs Mns)	Q1FY23	Q1FY22	Growth%	Q4FY22	Growth%
Sale of products/services	89,750	30,040	198.8	72,670	23.5
Other operating revenues	4,680	4,690	(0.2)	5,290	(11.5)
Total Operating Revenues	94,430	34,730	171.9	77,960	21.1
Other income	440	460	(4.3)	760	(42.1)
Total Income	94,870	35,190	169.6	78,720	20.5
			-		
Cost of Materials Consumed	48,500	31,710	52.9	72,750	(33.3)
Purchase of stock-in-trade	12,900	5,410	138.4	13,950	(7.5)
Changes in stock	8,980	(10,170)	(188.3)	(28,430)	(131.6)
Total RM Cost	70,380	26,950	161.2	58,270	20.8
RM to Op Revenue	74.53%	77.60%		74.74%	
Employee benefits expense	3,870	3,130	23.6	3,950	(2.0)
Employee to Op Revenue	4.10%	9.01%		5.07%	
Advertising	2,180	490	344.9	1,980	10.1
Ad Spends to OP Revenue	2.31%	1.41%		2.54%	
Other expenses	6,040	2,790	116.5	5,820	3.8
O. Exps to Op Revenue	6.40%	8.03%		7.47%	
EBITDA (exc. OI)	11,960	1,370	773.0	7,940	50.6
EBITDA Margin	12.67%	3.94%		10.18%	
EBITDA	12,400	1,830	577.6	8,700	42.5
Depreciation	1,030	950	8.4	1,020	1.0
PBIT	11,370	880	1,192.0	7,680	48.0
Interest	650	490	32.7	610	6.6
PBT	10,720	390	2,648.7	7,070	51.6
Total Tax	2,820	210	1,242.9	1,260	123.8
Tax Rate	26.3%	53.8%		17.8%	
PAT	7,900	180	4,288.9	5,270	49.9
Exceptional item	-	-		540	
Share of profit from JV/ Associate	-	-		-	
Minority Interest	50	(20)	(350.0)	170	(70.6)
Adjusted PAT	7,850	200	3,825.0	5,640	39.2
NPM	8.27%	0.57%		7.16%	
Equity	890	890		890	
FV	1	1		1	
EPS	8.8	0.2		6.3	39.2
Segmental Revenues					
Watches	7,860	2,930	168.3	6,250	25.8
% to Operating Income	8.3%	8.3%		7.9%	
Jewellery	83,510	30,500	173.8	68,430	22.0
% to Operating Income	88.0%	86.7%		86.9%	
Eyewear	1,830	670	173.1	1,340	36.6
% to Operating Income	1.9%	1.9%		1.7%	
Others	1,440	830	73.5	2,290	(37.1)
% to Operating Income	1.5%	2.4%		2.9%	
Corporate (unallocated)	230	260	(11.5)	410	(43.9)
% to Operating Income	0.2%	0.7%		0.5%	
Total	94,870	35,190	169.6	78,720	20.5
PBIT					
Watches	980	(610)	(260.7)	(350)	(380.0)
% to segmental Income	12.47%	-20.82%		-5.60%	
Jewellery	10,520	1,980	431.3	7,670	37.2
% to segmental Income	12.60%	6.49%		11.21%	
Eyewear	360	(130)	(376.9)	(70)	(614.3)
% to segmental Income	19.67%	-19.40%		-5.22%	
Others	(160)	(170)		20	
% to segmental Income	-11.11%	-20.48%		0.87%	

Valuation & Outlook

Titan posted good set of numbers mainly on account of good Akshaya Tritiya quarter after 3 years driven by both buyer and ticket size growth. Titan's management has guided for 20% revenue growth with EBIT margin of 12-13% in jewellery business. Company plans to open 30-40 stores in the jewellery segment which has been the main growth driver.

Titan is amongst few players who has carved its brand in the mind of Indian consumer which is very hard to replicate. With increasing per capita income of Indian consumer Titan is all set to capture the large unorganized market & create a niche brand in multiple consumer segments. We maintain our BUY on DIP rating on the stock

Valuations @ Rs 2432: 48x FY24E EPS of Rs 50 and 59x FY23E EPS of Rs.41, we currently have a **BUY ON DIPS** rating on the stock for a **target price of Rs.2,827 valuing the company at 56x FY24E EPS of Rs.50.**

Financials

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	2,10,515	2,16,450	2,87,990	3,86,181	4,59,905	Net Profit	15,014	9,740	22,270	36,618	44,929
Operating Expenses	(1,51,551)	(1,64,140)	(2,16,410)	(2,89,636)	(3,44,929)	Add: Dep. & Amort.	3,480	3,750	3,990	4,424	4,814
Employee Cost	(11,994)	(10,650)	(13,490)	(15,244)	(17,225)	Cash profits	18,493	13,490	26,260	41,041	49,742
Other Expenses	(22,305)	(24,410)	(24,680)	(30,155)	(34,496)	(Inc)/Dec in					
Operating Profit	24,666	17,250	33,410	51,147	63,255	-Sundry debtors	1,089	(545)	(1,074)	(556)	(1,010)
Depreciation	(3,480)	(3,750)	(3,990)	(4,424)	(4,814)	-Inventories	(10,642)	(3,050)	(22,437)	(36,317)	(27,268)
PBIT	21,186	13,500	29,420	46,724	58,442	-Loans/advances	1,661	906	(119)	(131)	(170)
Other income	1,532	1,860	2,340	3,721	3,177	- Other Current Assets	(5,212)	382	(1,552)	(1,549)	(2,050)
						-Current Liab and					
Interest	(1,662)	(2,030)	(2,180)	(1,276)	(1,414)	Provisions	3,884	(2,084)	5,733	(342)	3,075
PBT	21,057	13,330	29,580	49,168	60,205	Sundry Creditors	(3,093)	1,923	2,782	3,611	2,727
Profit before tax (post exceptional)	21,057	13,330	29,580	49,168	60,205	Change in working capital	(12,312)	(2,467)	(16,667)	(35,285)	(24,696)
						CF from Oper. activities	6,181	11,023	9,594	5,757	25,046
Provision for tax	(6,090)	(3,530)	(7,060)	(12,376)	(15,154)	CF from Inv. activities	(14,507)	(29,444)	6,037	(3,760)	19,477
Reported PAT	14,967	9,800	22,520	36,793	45,051	CF from Fin. activities	1,472	20,210	892	(12,483)	(46,150)
MI	87	(10)	(250)	(175)	(123)	Cash generated/(utilised)	(6,854)	1,789	16,523	(10,487)	(1,627)
Net Profit	15,054	9,790	22,270	36,618	44,929	Cash at start of the year	10,665	3,811	5,600	22,123	11,636
Adjusted Profit (excl Exceptionals)	15,014	9,740	22,270	36,618	44,929	Cash at end of the year	3,811	5,600	22,123	11,636	10,009

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	888	890	890	890	890	OPM	11.7	8.0	11.6	13.2	13.8
Reserves	65,800	74,080	90,243	1,12,213	1,39,171	NPM	7.08	4.46	7.67	9.39	9.70
Net worth	66,688	74,970	91,133	1,13,103	1,40,061	Tax rate	(28.9)	(26.5)	(23.9)	(25.2)	(25.2)
MI	44	50	300	475	598	Growth Ratios (%)					
Non Current Liabilities	12,501	12,350	12,480	12,108	2,368	Net Sales	6.4	2.8	33.1	34.1	19.1
Current Liabilities	56,266	77,150	92,575	98,205	85,446	Operating Profit	23.9	(30.1)	93.7	53.1	23.7
TOTAL LIABILITIES	1,35,498	1,64,520	1,96,488	2,23,891	2,28,472	PBIT	15.9	(36.3)	117.9	58.8	25.1
Non Current Assets	34,295	32,550	33,221	33,063	27,369	PAT	6.9	(35.1)	128.7	64.4	22.7
Fixed Assets	25,287	24,320	24,193	23,530	17,363	Per Share (Rs.)					
Goodwill	1,230	1,230	1,230	1,230	1,230	Net Earnings (EPS)	17	11	25	41	50
Non Current Investments	444	190	200	200	200	Cash Earnings (CPS)	20.8	15.2	29.5	46.1	55.9
Deferred Tax Asset	1,590	1,050	1,050	1,050	1,050	Dividend	4.0	3.8	6.3	16.5	20.2
Long Term Loans and Advances	1,535	430	473	520	598	Book Value	75.1	84.2	102.4	127.1	157.4
Other Non Current Assets	4,210	5,330	6,075	6,533	6,927	Free Cash Flow	16.3	11.3	10.4	5.0	27.1
Current Assets	1,01,203	1,31,970	1,63,267	1,90,829	2,01,103	Valuation Ratios					
Current investments	1,136	28,050	18,140	18,140	16	P/E(x)	143.8	222.2	97.2	59.1	48.2
Inventories	81,030	84,080	1,06,517	1,42,834	1,70,102	P/B(x)	32.4	28.9	23.8	19.1	15.5
Trade Receivables	3,116	3,660	4,734	5,290	6,300	EV/EBITDA(x)	88.1	124.3	64.0	42.0	34.1
Cash and Bank Balances	3,811	5,600	22,123	11,636	10,009	Div. Yield(%)	0.2	0.2	0.3	0.7	0.8
Short Term Loans and Advances	561	760	836	920	1,012	FCF Yield(%)	0.7	0.5	0.4	0.2	1.1
Other Current Assets	11,550	9,820	10,917	12,009	13,665	Return Ratios (%)					
TOTAL ASSETS	1,35,498	1,64,520	1,96,488	2,23,891	2,28,472	ROE	23%	13%	24%	32%	32%
	-	-	-	-	-	ROCE	25%	15%	28%	37%	40%

Source: Dalal & Broacha Research, Company

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